CSIS CHINA PROGRAMS

China Daily Brief

Tuesday, November 10, 2026

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RE: RE: Nvidia-Huang spy scandal fallout · China's $1T trade surplus · WuXi AppTec delisted · PLA Western Pacific drills · Trump-Xi-Putin summit prep

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6585	3,663.72	24,557.04	$90.70
▼ -0.17%	▼ -0.61%	▲ +4.38%	▼ -7.72%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. Nvidia CEO Jensen Huang faces an FBI inquiry and a shareholder lawsuit after reports he had an affair with an alleged Chinese intelligence asset, prompting Beijing's third denial in two weeks and the halt of a separate Commerce Department chip-smuggling probe.
2. China's cumulative trade surplus topped $1 trillion through October for a second consecutive year as exports grew roughly 35 percent, intensifying trading-partner complaints over Chinese export volumes.
3. The Pentagon quietly removed WuXi AppTec from its list of alleged Chinese military companies even as Taiwan reported China running 'area denial' drills involving roughly 100 PLA vessels in the Western Pacific.

TOP STORIES

TECHNOLOGY

Nvidia CEO's Alleged Spy Scandal Draws FBI, Lawsuit, Beijing Denial

Jensen Huang faces a shareholder lawsuit and FBI scrutiny after reports of his affair with Alice Huang (黄乐), a businesswoman US officials believe works for China's Ministry of State Security, per the New York Times and Reuters. MOFA spokesperson **Guo Jiakun** said Nov 10, Beijing's third denial in two weeks, that the "China spy" narrative is "pure speculation... smear and vilification." A Commerce Department probe into AI-chip smuggling to Singapore's Megaspeed was halted after Nvidia's legal counsel intervened, per the New York Times' Chinese edition.

NYT, REUTERS, FT, MOFA PRESSER

PRC-ECONOMY

China's Trade Surplus Tops $1 Trillion for Second Straight Year

China's cumulative 2026 trade surplus surpassed *$1 trillion* through October, matching last year's milestone, as October exports jumped roughly 35 percent year-on-year on AI-linked tech demand, per Reuters and AP. The FT and CNN both note the imbalance is intensifying complaints from trading partners over a glut of cheap Chinese exports amid weak domestic demand.

REUTERS, AP, FT, CNN

SANCTIONS

Pentagon Drops WuXi AppTec From Chinese Military Companies List

The US Department of Defense removed WuXi AppTec, the Chinese contract drug-development and manufacturing giant, from its Section 1260H list of alleged Chinese military-linked companies, per WSJ, Bloomberg and Reuters reports Nov 9-10. None of the three reports gave a reason for the delisting.

WSJ, BLOOMBERG, REUTERS

CROSS-STRAIT

Taiwan Reports China Running 'Area Denial' Drills in Western Pacific

Taiwan's Ministry of National Defense said Nov 10 that China is conducting 'area denial' exercises in the Western Pacific, per Reuters. A separate assessment from a US think tank, cited by VOA's Chinese service Nov 9, put the number of PLA vessels massed in the same waters at roughly *100 ships*, raising the possibility the drills are rehearsing a blockade of Taiwan.

REUTERS, VOA CHINESE

DIPLOMACY

US Resists China's Script for Possible Trump-Xi-Putin Summit

> The US has pushed back on Beijing's demand for a tightly scripted format for a possible Trump-Xi-Putin trilateral at the APEC summit in Shenzhen next week, the WSJ reported Nov 10, citing people familiar with the planning. **Trump** told reporters Sunday he expects to meet both leaders in China to discuss Iran and Ukraine; MOFA said only that Washington and Beijing are "maintaining communication" on the two heads of state's engagements this year.
>
> WSJ EXCLUSIVE; MOFA PRESSER

OVERNIGHT

TECHNOLOGY

China Touts Tech, AI Credentials at Web Summit · AFP China

Chinese firms showcased AI and tech capabilities at the Web Summit, AFP reports. The appearance comes as Beijing pushes to project technological self-reliance abroad.

ENERGY

Chinese Coal Buyers Balk at Indonesian Miners' Contract Terms · Bloomberg China

Chinese coal buyers are resisting new contract demands tied to Indonesia's RKAB mining-quota rules, Bloomberg reports. The standoff could affect coal flows between the two countries.

TRADE

China Pushes High-Tech Edge in Industry Carrying 80% of Global Trade · Reuters China

China is seeking a technological advantage in the shipping industry, which carries roughly 80 percent of global trade by volume, per Reuters. The push adds to Beijing's broader industrial-upgrading campaign.

HUMAN RIGHTS

Pastor at Beijing Underground Church Arrested, Wife Says · WaPo China

A pastor at a Beijing underground church has been arrested, his wife told the Washington Post. The report did not specify the charges or date of detention.

ECONOMY

Bloomberg Intelligence: Hong Kong Home Prices Seen Rising 5% in 2027 · 联合早报 (Lianhe Zaobao ZH)

Hong Kong secondary home prices rose 7 percent and rents about 6 percent in the first nine months of 2026, with Bloomberg Intelligence forecasting a further *5 percent* rise next year as a stronger yuan draws mainland buyers. The yuan hit a three-year high against the Hong Kong dollar this month, per the report.

DIPLOMACY

He Lifeng Co-Chairs Second China-Canada Economic Dialogue · 外交部 (MOFA ZH)

Vice Premier **He Lifeng** co-chaired the second China-Canada Economic and Financial Strategic Dialogue with his Canadian counterparts in Beijing, per China's Foreign Ministry. No further details on outcomes were given in the readout.

US–CHINA

CONGRESS · REUTERS CHINA

Nvidia Spy Allegations Seen Spurring Tighter China Chip Access Laws

Lawmakers are likely to push new legislation tightening China's access to AI chips following the Nvidia-Huang spy allegations, Reuters reports. A separate Reuters report quotes the House Democratic leader saying lawmakers need answers from Nvidia and want new China chip restrictions.

CONGRESS · NIKKEI ASIA CHINA

Democrats' Midterm Win Puts House Select Committee on China in Doubt

Incoming House Democrats are weighing whether to disband or reshape the Select Committee on the CCP after the party's midterm victory, per Nikkei Asia. Some lawmakers reportedly favor a reshaped panel rather than outright dissolution.

LEGAL · REUTERS CHINA

Nvidia, Huang Sued Over Disclosures Tied to Suspected Chinese Spy

A shareholder lawsuit filed in federal court accuses Nvidia and CEO Jensen Huang of inadequate disclosure regarding his relationship with Alice Huang, the businesswoman US officials believe works for China's Ministry of State Security, per Reuters.

MILITARY · 国防部 (MND ZH)

US, Chinese Militaries Hold Ceremony Returning WWII 'Hump' Pilots' Remains

The US and Chinese militaries held a ceremony transferring the remains of American 'Hump' airlift pilots who flew supply missions supporting China's resistance against Japan in World War Two, per China's Ministry of National Defense. The notice did not specify the ceremony's exact date or location.

TARIFF · 商务部 (MOFCOM ZH)

China, US Simultaneously Announce Tariff Extension Arrangement

China and the US simultaneously announced a tariff extension arrangement Nov 10, per a MOFCOM trade-remedy notice framed as implementing prior consultation consensus and conveying China's 'reasonable concerns.' A companion State Council Tariff Commission notice adjusted added tariffs on US-origin imports the same day.

CHINA & THE WORLD

CROSS-STRAIT · TAIPEI TIMES

FBI Case Spotlights Pattern of Alleged Beijing Espionage Operatives

The FBI last month arrested **Wanying "Heather" Zhang**, a California real-estate agent accused of surveilling **Lai Ting-yu**, son of Taiwan President William Lai, at Beijing's direction, per Taipei Times. Zhang allegedly photographed and tracked Lai Ting-yu's Seattle residence in September and was separately tasked with gathering information on a Taiwanese official in Irvine; she pleaded not guilty this month.

JAPAN · KYODO CHINA

Japan, Vietnam Voice Shared Concern Over South China Sea Moves

Japan and Vietnam issued a joint statement expressing shared concern over developments in the South China Sea, Kyodo reports. The brief wire did not name specific incidents.

MIDDLE EAST · SCMP CHINA

Analysts: Beijing, Moscow May Offer Trump an Iran Exit Ramp

Trump said Sunday he would meet **Xi Jinping** and **Vladimir Putin** in China, floating a trilateral summit to help broker an end to the Iran war, per SCMP. Chinese observers cited in the piece see Beijing potentially acting as a neutral mediator offering a diplomatic platform rather than pressuring Tehran directly.

INDIA · NIKKEI ASIA CHINA

India Forms Commando Units for Close Combat Along China Border

India's border police are being organized into new specialized commando units trained for close-combat confrontations with Chinese troops, per Nikkei Asia. The move follows a series of friction points along the disputed frontier.

ASEAN · NIKKEI ASIA CHINA

AI Boom Accelerates ASEAN-China-Japan-Korea Economic Integration

The artificial intelligence boom is accelerating economic integration across Southeast Asia, China, Japan and South Korea, per Nikkei Asia. The report frames AI supply chains as a new driver of intra-Asian trade linkages.

KOREA · AFP CHINA

AFP Debunks False Claims on Chinese Nationals Amid Korea Registration Changes

AFP fact-checkers debunked false claims targeting Chinese nationals that spread after South Korea updated its resident registration system. The fact-check did not specify the originating claims beyond noting their online circulation.

AUSTRALIA-PACIFIC · TAIPEI TIMES

PNG Commentator Criticizes Government Over Taiwan Office Closure

A Papua New Guinea political commentator criticized the government's decision to close Taiwan's representative office, calling the official explanations 'inconsistent' and lacking transparency, per Taipei Times. PNG's foreign ministry had announced in July the 'immediate cessation' of the Taipei Economic Office's operations before reportedly allowing a 12-month transition window.

CROSS-STRAIT · TAIPEI TIMES

Lai Says Taiwan Working Toward Independent Satellite Launches

President **William Lai** said Taiwan is building domestic satellite and rocket-testing facilities, with a Tainan rocket-assembly base set to open in 2030 and a Pingtung launch site in 2032. The government has raised funding for its space program to *NT$71 billion* through 2031, Lai said.

STAT OF THE DAY

100

PLA ships assessed massed in the Western Pacific

The think-tank estimate, cited by VOA's Chinese service Nov 9, was published separately from Taiwan's Ministry of National Defense report of 'area denial' exercises in the same waters a day later.

VOA Chinese

ECONOMY & BUSINESS

TECH / DENGLIN, XINDE · REUTERS CHINA

Chinese Chipmakers Denglin, Xinde Debut Mixed in Hong Kong

Chinese chip firms Denglin and Xinde had mixed trading debuts in Hong Kong Nov 10, testing investor appetite for China tech listings amid the Hang Seng's recent rally.

AUTO / VOLKSWAGEN · FT CHINA

VW Shifts Strategy as 'In China, For China' Model Falters

Volkswagen is changing its China strategy as its localized 'In China, For China' approach runs out of road amid a sharp market downturn, the FT reports.

ENERGY · REUTERS CHINA

China's October Crude Imports Hit Highest Level Since March

China's crude oil imports rose in October to their highest level since March as more Middle East crude flowed into the country, per Reuters.

AUTO / BYD, CHERY · BLOOMBERG CHINA

BYD, Chery Export Boom Carries a $270 Billion Cost

China's BYD- and Chery-led auto export surge has come with a *$270 billion* cost, per a Bloomberg analysis of the industry's expansion.

TECH / MOONSHOT, NVIDIA · BLOOMBERG CHINA

Moonshot Rents Nvidia's Top AI Chips Inside China, Documents Show

Chinese AI firm Moonshot is renting access to Nvidia's top-end AI chips within China, according to documents reviewed by Bloomberg.

FINANCE / CHINA WATER ENVIRONMENT · BLOOMBERG CHINA

China Water Environment Seeks $410 Million Loan Restructuring

China Water Environment is seeking to restructure *$410 million* in loans, Bloomberg reports, the latest sign of financing strain among Chinese environmental-infrastructure firms.

TECH / APPLE · REUTERS CHINA

Apple Intelligence Registers With Chinese Regulator for Tablets, Laptops

Apple's AI service, Apple Intelligence, has registered with China's regulator for use on tablets and laptops, per Reuters, a step toward wider rollout in the market.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · TUESDAY, NOVEMBER 10, 2026

商务部 · MOFCOM · *MOFCOM spokesperson*

MOFCOM addresses adjustment to export control list

MOFCOM's spokesperson responded to questions on changes to China's export control list in a Nov 10 Q&A notice; the available text did not specify which items or entities were affected.

→ MOFCOM ZH ↗

商务部 · MOFCOM · *MOFCOM spokesperson*

MOFCOM adjusts Unreliable Entity List

A companion Nov 10 notice addressed changes to China's Unreliable Entity List; specific additions or removals were not detailed in the available text.

→ MOFCOM ZH ↗

国务院关税税则委员会 · STATE COUNCIL TARIFF COMMISSION

Tariff Commission adjusts added tariffs on US-origin imports

The commission issued a Nov 10 notice adjusting additional tariffs on goods originating from the US; a companion MOFCOM explainer said Washington announced a parallel tariff extension the same day.

→ MOFCOM ZH ↗

中国人民银行 · PBOC · *Pan Gongsheng, PBOC Governor*

PBOC completes shift of policy-rate anchor to overnight reverse repo

Effective Nov 2, PBOC runs daily fixed-rate overnight reverse repo auctions as its main policy anchor, reserving the 7-day tool for tax-period and month-end liquidity, per Caixin Weekly. The PBOC conducted a *¥190 billion* reverse-repo operation Nov 10, a net injection of ¥8 billion, per Guandian.

→ PBOC ZH / Caixin ↗

NPC / POLITBURO WATCH

CMC / PLA

PLA holds first military-wide briefing on Fifth Plenum spirit; Zhang Shengmin meets briefing team

The session, part of army-wide study of the Fifth Plenum of the 20th CPC Central Committee, was addressed by CMC Vice Chairman Zhang Shengmin, per China's Ministry of National Defense.

WHAT BEIJING IS SAYING

外交部 · MOFA · DENIAL THAT ALICE HUANG IS A CHINESE INTELLIGENCE ASSET — **FIRM · TO US**

Guo Jiakun '· MOFA spokesperson

“The so-called 'Chinese spy' narrative is pure speculation, smear and vilification.”

所谓'中国间谍'的论调纯属是捕风捉影，污蔑抹黑。

Asked by an AFP reporter whether Alice Huang, who had a reported affair with Nvidia CEO Jensen Huang, works for Chinese intelligence; it was Beijing's third such denial in two weeks, per Chinese media.

外交部发言人 (MOFA presser ZH)

外交部 · MOFA · CHINA-US HEAD-OF-STATE ENGAGEMENT PLANS THIS YEAR — **ROUTINE · TO US**

Guo Jiakun '· MOFA spokesperson

“Per MOFA: China and the US are maintaining communication on arrangements for the two heads of state's interactions this year.”

Asked whether Xi Jinping, Trump and Putin would hold a trilateral meeting at the APEC summit in Shenzhen, per reports of the Nov 10 briefing.

外交部发言人 (MOFA presser ZH)

商务部 · MOFCOM · SYNCHRONIZED CHINA-US TARIFF EXTENSION — **CONCILIATORY · TO US**

MOFCOM trade-remedy notice

“Per MOFCOM: China and the US have simultaneously announced a tariff extension arrangement, continuing to implement consultation consensus and conveying China's 'reasonable concerns.'”

Posted to China's official trade-remedy portal Nov 10 alongside a separate State Council Tariff Commission notice adjusting added tariffs on US-origin imports.

商务部 (MOFCOM ZH)

王毅 · WANG YI · CHINA-SLOVAKIA RELATIONS, FIFTH PLENUM BRIEFING — **CONCILIATORY · TO EU**

Wang Yi '· Foreign Minister, Politburo member

“China is willing to work with Slovakia to practice a global governance vision of extensive consultation, joint contribution and shared benefits, and to jointly build a Community of Common Destiny for Mankind.”

中方愿同斯方一道，践行共商共建共享的全球治理观，携手构建人类命运共同体。

Wang Yi met Slovakia's foreign minister in Beijing Nov 10 and briefed him on the Fifth Plenum of the 20th CPC Central Committee, per Yicai.

第一财经 (Yicai ZH)

WHAT OTHERS ARE SAYING

SCMP · NOV 10, 2026

Ilaria Mazzocco · Senior Fellow, CSIS Trustee Chair

“I think that [scandal] could have a bigger impact down the line during the meeting in Miami or even further down the line”

Mazzocco was commenting on how the Nvidia-Huang spy allegations could affect US-China relations ahead of the APEC meeting in Shenzhen and a possible later Miami summit.

source

TAIPEI TIMES · NOV 10, 2026

William Lai · President of Taiwan

“As these facilities are completed, we will make progress toward launching satellites independently”

Lai spoke at the opening of the Taiwan International Assembly of Space Science, Technology and Industry in Tainan, citing new rocket-testing facilities in Shalun and a national launch site in Jioupeng.

source

THE WIRE

CROSS-STRAIT

BLOOMBERG CHINA

Bloomberg Feature Examines Beijing's Non-Invasion Pressure on Taiwan

Bloomberg published a Nov 10 feature on how Beijing exerts pressure on Taiwan short of invasion.

TRADE

商务部 (MOFCOM ZH)

India Opens Anti-Dumping Probe on Chinese Aluminum Extrusions

India launched an anti-dumping investigation into Chinese aluminum extrusion imports, per MOFCOM's trade-remedy portal.

商务部 (MOFCOM ZH)

India Issues Final Sunset-Review Ruling on Chinese Fumed Silica

India completed its first anti-dumping sunset review on Chinese fumed silica (vapor-phase silica), per MOFCOM.

FINANCE

中国人民银行 (PBOC ZH)

Bank of China Offers 4.5% USD Deposit Rate as Yuan Rallies

Bank of China is offering 4.5 percent US-dollar deposit rates as the yuan strengthens, per a Chinese financial report.

DIPLOMACY

外交部 (MOFA ZH)

Xi Sends Congratulatory Message to Bulgaria's President-Elect

Xi Jinping congratulated Bulgaria's newly elected president, per China's Foreign Ministry.

ECONOMY

央视新闻 (CCTV ZH)

US Firms' CIIE Exhibition Space Tops 50,000 Square Meters

US companies' exhibition space at the China International Import Expo exceeded 50,000 square meters, extending an eight-year run as top exhibiting country, per CCTV.

UPCOMING

Nov 10

Busan-deal one-year suspensions reach expiration date

The BIS Affiliates Rule suspension and China's Oct 2025 rare-earth export-control suspension were both set to lapse around Nov 10, 2026 absent an extension; today's articles did not confirm either status.

Nov 18

APEC Economic Leaders' Meeting opens in Shenzhen

China hosts APEC Nov 18-19; Trump told reporters he expects to meet Xi Jinping and Putin there, though the WSJ reports the US and China have not agreed on a format for any trilateral.

Nov 28

Taiwan nine-in-one local elections

Voters choose 22 mayors and magistrates and roughly 11,000 local offices, read as a mid-term gauge on President Lai Ching-te.

Dec 13

Nanjing Massacre National Memorial Day

China's annual state commemoration of the 1937 Nanjing Massacre.

Dec 14

G20 Leaders' Summit opens in Doral

The US hosts the G20 summit Dec 14-15; Xi Jinping's attendance has not been confirmed.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

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